

Beyond the Gateway: Singapore, China's EV Expansion and the Risks of Strategic Dependence

I. Introduction: An Opportunity That Deserves Caution

China's economic presence in Southeast Asia is difficult to ignore. Its electric-vehicle, battery, renewable-energy and technology industries have grown rapidly, while Chinese companies are increasingly looking beyond their domestic market towards ASEAN. For Singapore, this appears to present an obvious opportunity. Its position as a financial centre, regional headquarters hub and bridge between China and Southeast Asia makes it a natural platform for Chinese companies seeking to internationalise.

Yet I believe Singapore should approach this opportunity with more caution than the prevailing optimism might suggest.

China's outward expansion is not driven by strength alone. Behind the competitiveness of its manufacturing sector lies a domestic economy facing weak consumption, a prolonged property downturn, local-government financial pressures and increasingly intense competition among firms. The IMF has similarly warned that weak domestic demand, deflationary pressures and continued reliance on exports are becoming structural challenges to China's growth model. In industries such as electric vehicles, the striking growth of exports therefore tells only part of the story: firms are expanding abroad not only because they can, but increasingly because continued growth at home has become harder.

This distinction matters for Singapore. China's internationalisation can create substantial commercial opportunities in ASEAN, and Singapore should capture them. But it would be dangerous to build long-term strategy around the assumption that the current pattern of Chinese expansion will remain sustainable indefinitely. At the same time, intensifying US–China competition is making economic dependence increasingly inseparable from geopolitical risk.

Singapore should therefore engage deeply with China — but without allowing opportunity to become dependence.

II. China's EV Rise: Strength, but Also Pressure

China's electric-vehicle industry is one of the clearest examples of how Chinese firms have successfully changed the basis of global competition. Rather than spending decades reproducing the mechanical advantages accumulated by Japanese and German automakers in engines, transmissions and traditional automotive engineering, Chinese manufacturers shifted the competitive battlefield towards batteries, electronics, software integration and increasingly “software-defined” vehicles. A Chinese current-affairs commentator on YouTube describes this shift as moving from “overtaking on the curve” to “changing lanes to overtake” — competing in new technological areas where the accumulated advantages of traditional automakers matter less.

This success, however, also contains an important weakness. The lowering of some traditional barriers to entry, combined with rapid investment and the entry of many competing firms, has created an intensely crowded domestic market. This has contributed to severe price competition, thin margins and a growing need for Chinese EV manufacturers to continuously expand sales volume. The result is that outward expansion should not be understood only as a sign of confidence or technological superiority. It is also increasingly a response to pressure at home.

This distinction is especially important when interpreting China's rapidly rising automobile exports. Export growth can appear impressive when viewed in isolation, yet it may coexist with weak domestic demand and declining profitability. Therefore there exist a contradiction: Chinese EV exports have risen sharply while domestic automobile demand has weakened, meaning that overseas markets are becoming increasingly important not simply as an additional source of growth, but as an outlet for capacity that is becoming more difficult to absorb domestically.

In my view, this makes China's EV expansion both more important and less reassuring. The competitiveness of Chinese manufacturers is real, but the pressure behind their internationalisation suggests that the current export surge should not automatically be interpreted as evidence of a permanently stronger economic model.

III. The Domestic Pressures Behind the Outward Push

The pressures visible in the EV industry reflect a broader problem in China's growth model. For many years, growth has relied heavily on investment, property development and manufacturing capacity. As the property sector weakened and household confidence remained subdued, domestic demand has struggled to keep pace with the economy's ability to produce. The IMF now identifies weak consumption, the prolonged property adjustment, pressure on local-government finances and persistent deflationary risks as major constraints on China's outlook. It also warns that using strong exports to compensate for weak domestic demand is unlikely to remain a sustainable strategy for an economy of China's size.

What makes this particularly striking is that the problem is increasingly acknowledged within China itself. Chinese regulators have repeatedly called for the 治理 of “内卷式竞争” — excessive or self-defeating competition — and have specifically identified new-energy vehicles, batteries and solar manufacturing as sectors requiring attention. In the automobile industry, regulators have introduced measures against disorderly price competition and low-price practices in an effort to restore healthier market conditions.

To me, this changes how China's EV export boom should be interpreted. Overseas expansion may indeed demonstrate technological competitiveness, but it can simultaneously function as an escape from increasingly difficult conditions at home. If firms must continuously seek new markets to absorb production and maintain volume, then today's international expansion may be less stable than its headline growth rates suggest. Singapore should therefore distinguish between Chinese companies expanding abroad from genuine long-term competitiveness and those whose overseas push is primarily a response to domestic overcapacity and margin pressure.

IV. ASEAN and Singapore: A Real Opportunity

Despite these concerns, it would be equally misguided for Singapore to distance itself from China's outward expansion. As Chinese firms search for new markets, ASEAN is an obvious destination: it offers a large and growing consumer base, relatively open investment regimes and proximity to China, while access to markets such as the United States and Europe has become increasingly complicated by tariffs and geopolitical tensions. Chinese investment into ASEAN is already substantial, particularly in manufacturing, electric vehicles and related supply chains. In 2024 alone, Chinese FDI into ASEAN rose by 11% to around US\$19 billion.

Singapore's role, however, should not be to compete directly with countries such as Thailand, Indonesia or Vietnam for large-scale EV manufacturing. Its comparative advantage lies instead in becoming the **regional "control tower"** for Chinese companies expanding across Southeast Asia — providing headquarters functions, financing, professional services, R&D, legal infrastructure and coordination across different ASEAN markets. This role is already visible: Singapore's EDB notes that companies from China, the United States and Europe continue to establish headquarters here to manage international expansion, while the majority of Singapore's 2025 business-expenditure commitments went into headquarters, professional services and R&D.

This is an opportunity Singapore should actively capture. My concern is therefore not with deeper commercial engagement with China itself, but with allowing short-term commercial opportunities to evolve into long-term economic dependence. Singapore can benefit from Chinese EV companies expanding into ASEAN without assuming that their present rate of expansion — or the economic conditions driving it — will persist indefinitely.

V. Growing China Optimism and the Cost of Choosing Sides

What concerns me more than the commercial opportunity itself is the possibility that growing optimism towards China could gradually turn into strategic complacency. The change in Singapore-based responses to ISEAS–Yusof Ishak Institute's *State of Southeast Asia* surveys is striking. In 2020, when respondents were asked which power ASEAN should align with if forced to choose, 61.3% of Singapore respondents selected the United States and 38.7% China. By 2026, the result had almost reversed: 66.3% selected China and only 33.7% the United States. The survey represents respondents from policy, research, business, civil society and media rather than the Singapore population as a whole, but the shift is nevertheless difficult to ignore.

I do not see closer economic relations with China as a problem in themselves. What worries me is the assumption that China's growing economic weight necessarily makes deeper dependence on it a safe long-term strategy. The attraction is understandable: China is geographically close, deeply integrated with ASEAN and increasingly important to regional trade. Yet precisely because these links are becoming deeper, Singapore should be more conscious of the political leverage that economic concentration can create.

This matters as US–China competition becomes increasingly structural. Prime Minister Lawrence Wong has acknowledged that although both powers say they do not want countries to choose sides, each naturally wants other states drawn closer into its orbit. He has also

stressed that Singapore's decisions should ultimately be made from Singapore's own national interest rather than from being “pro-China” or “pro-America”.

To me, this is the greater long-term risk behind China's outward expansion. The more Singapore's trade, investment and corporate ecosystem becomes tied to one major power, the harder it may become to maintain genuine freedom of action when commercial and geopolitical interests eventually collide. Singapore's value has never come from choosing the winning side early. It comes from remaining useful and trusted by multiple sides at once.

VI. Engage China, but Preserve Strategic Flexibility

The appropriate response is therefore not to pull away from China, but to engage with greater discipline. Singapore should continue to attract Chinese companies that bring genuine technological capability, capital, regional functions and long-term commercial value. At the same time, it should avoid treating the scale of Chinese investment itself as a measure of success. The quality and sustainability of that investment matter more.

This is especially important in industries such as electric vehicles, where rapid expansion can reflect both competitiveness and domestic pressure. Singapore should distinguish between firms that are internationally competitive on their own merits and those whose overseas expansion depends heavily on continued subsidies, aggressive price competition or the need to escape weak conditions at home. In other words, Singapore should welcome strong Chinese companies, but it should not become a convenient outlet for unsustainable Chinese overcapacity.

More broadly, Singapore should preserve diversification across markets and partners. If it wants to remain a gateway for Chinese companies into ASEAN, it must simultaneously remain a gateway for American, European, Japanese, Indian and other firms into the region. Its long-term advantage lies precisely in being open to multiple economic systems rather than becoming too closely tied to any single one.

This also means favouring flexibility. Infrastructure, incentives and regulatory arrangements should remain useful even if Chinese investment slows or geopolitical conditions change. Singapore should benefit from China's current expansion without reorganising its economy around the assumption that this expansion will continue indefinitely.

In my view, the principle is simple: Singapore should pursue **selective interdependence** — deep enough to capture opportunity, but diversified enough to preserve choice.

VII. Conclusion

China's EV expansion into ASEAN presents a genuine opportunity for Singapore. Chinese firms have developed real strengths in batteries, software integration and manufacturing scale, and their push overseas will continue to reshape regional trade and investment. Singapore is well placed to benefit through financing, headquarters functions, professional services and regional coordination.

But I do not think Singapore should mistake today's momentum for a permanent economic reality. China's outward expansion is being driven not only by competitiveness, but also by weak domestic demand, intense price competition and pressure to find new markets. At the same time, a more difficult US–China relationship means that deeper economic dependence will increasingly carry political consequences.

For Singapore, the right strategy is therefore neither to resist China's expansion nor to lean into it uncritically. It should capture the opportunities created by strong Chinese companies while preserving diversified economic relationships and enough flexibility to adjust if China's growth model, regional demand or geopolitical conditions change.

Singapore's long-term advantage is not that it is close to China. It is that it can remain trusted, useful and connected to China, ASEAN and the wider world at the same time. The objective should therefore be to benefit from China's rise without becoming dependent on its continuation.